TRACKHAWK ADVISORS

# Case Study: GAH $1.05bn Notes Offering

*Priced January 11, 2024 | Updated as of Oct-26*

GAHL
GLOBAL AUTO HOLDINGS

# Case Study: Global Auto Refinances Lookers Acquisition Debt

TRACKHAWK ADVISORS

## $1.05bn Senior Unsecured Notes for M&A

- On 1/11/24, Global Auto Holdings (GAH) priced a **$1.05bn** 2-part offering of **$525mm** each of **8.375%** 5yr (non-call two) notes due 2029 and **8.75%** 8yr (non-call three) notes due 2032
- The proceeds refinanced existing debt from GAH's Oct-23 acquisition of Lookers and added cash to the balance sheet
- GAH is one of the largest global auto retailers, operating 179 franchised dealerships across eight countries, including the US, Canada, and the UK
- The bonds were marketed with 3Q23 Pro Forma Adj. EBITDA of **$377mm** (including cost savings), resulting in **2.8x total leverage**
- The agencies used lower pro forma earnings and higher initial leverage than what was marketed to investors because prospective cost synergies were excluded
- S&P expects "adjusted debt to EBITDA will decline to about 4x area over the next couple of years" because of cost savings from the acquisition

| Final Terms | 2029 Notes | 2032 Notes |
|---|---|---|
| Pricing Date | January 11, 2024 | |
| Issuer | Global Auto Holdings and AAG FH UK | |
| Corporate Ratings | B+ / B1 | |
| Bond Ratings | B+ / B2 | |
| Issue | Senior Unsecured Notes | |
| Amount | $525mm | $525mm |
| **Maturity**<br>*Call* | **Jan 2029**<br>*5yr NC2* | **Jan 2032**<br>*8yr NC3* |
| **Coupon**<br>*Spread vs US Treasuries* | **8.375%**<br>*(T + 441 bps)* | **8.750%**<br>*(T + 474 bps)* |
| **Yield to Worst (8/6/26)**<br>*Spread vs US Treasuries* | **8.490%**<br>*(T + 422 bps)* | **9.340%**<br>*(T + 493 bps)* |

*Ratings: S&P / Moody's at pricing.*



*Sources: Publicly available information from FINRA TRACE as of 8/6/26, Moody's, S&P Global Ratings, Simpson Thacher, and The International Stock Exchange*